

Jurisdiction-specific articles

The Austrian Charitable Foundation reform of 2015

Michael Petritz and Andreas Kampitsch*

Abstract

Very recently, the Austrian legislator has issued the bill on charitable organizations ('Gemeinnützigkeitsgesetz 2015') that contains the following two main features: a reformation of the Austrian Charitable Foundation Act (Bundes-Stiftungs und Fondsgesetz), as well as a broadening of the tax benefits for charitable engagement. The following article focuses on the 'new' Austrian Charitable Foundation as provided for in the Austrian Charitable Foundation Act.

Introduction

Very recently the Austrian legislator has issued the bill on charitable organizations ('Gemeinnützigkeitsgesetz 2015'¹) that contains the following two main aspects: a reformation of the Austrian Charitable Foundation Act (Bundes-Stiftungs und Fondsgesetz 2015, BStFG 2015²) as well as a broadening of the tax benefits for charitable engagement. The following article focuses on the 'new' Austrian Charitable Foundation as provided for in the Austrian Charitable Foundation Act.

Austrian Foundations

The most common foundations in Austria are Private Foundations, which were introduced in 1993 and may be established for any purpose (even non-charitable). Currently, there are more than 3000 Private Foundations registered in the commercial register. Most of these Private Foundations are family foundations, only 200 of them serve a charitable purpose.

Besides Private Foundations, Austria offers the 'Charitable Foundation' or the 'Charitable Fund' as a possibility to endow assets for a charitable purpose. However, the previous Act on Charitable Foundations and Funds dated back to 1973 and—compared to the modern and flexible legal structure of a Private Foundation—was perceived to be inflexible and less attractive due to strict governmental supervision. Thus, only about 200 Federal Charitable Foundations and 200 Regional Charitable Foundations exist at the moment.³

Compared to many other European countries, first and foremost Germany and Switzerland, Austrian Charitable Foundations invest only a comparably low amount in charity.⁴ Thus, the Austrian government in 2015 published a reform of the Charitable

* MMag. Michael Petritz, LL.M., TEP and Mag. Andreas Kampitsch, LL.M., KPMG Alpen-Treuhand GmbH; Wirtschaftsprüfungs- und Steuerberatungsgesellschaft; Porzellangasse 51; 1090 Wien, Austria; Tel: +43 (1) 31332 – 3304; Fax: +43 (1) 31332 – 3500.

1. BGBl I Nr 160/2015.

2. Bundestiftungs- und Fondsgesetz 2015, BGBl I Nr 160/2015.

3. Schneider/Millner/Meyer, Die Rolle der Gemeinnützigkeit in Österreichischen Stiftungen (2010) 3.

4. German Foundations invest about EUR 15bn, Swiss Foundations about 1.2 billion while Austrian Foundations only invest EUR 20–25 million in charity, cf 'Gemeinnützigkeitspaket 2015' published 2015 <http://www.bmwfw.gv.at/Presse/AktuellePresseMeldungen/Documents/Eckpunkte_gemeinnuetzigkeitspaket_text_24maerz2015L.pdf> accessed on 14 March 2016.

Foundations Act accompanied by several tax reliefs to improve the attractiveness of the Austrian Charitable Foundation.

The 'new' Charitable Foundation

The reformed Charitable Foundations Act is based on the Austrian Private Foundations Act and contains:

- privately organized supervision;
- possibilities to amend and to revoke the Foundation;
- a link between the charity concept in the Foundations Act and that in tax law;
- the obligatory involvement of the financial authorities when a new Charitable Foundation is established (to ensure the charitable character of the Foundation); and
- the flexibilization of the Charitable Foundation itself.

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It has been the aim of the legislator to make the establishment of a Charitable Foundation as easy as setting up a registered association. The main characteristics of the Charitable Foundation are described in the following:

Differentiation between 'Foundation' and 'Fund'

Just as the former Charitable Foundations Act also the recent reform still differentiates between a 'Foundation' and a 'Fund'. While a Foundation is set-up for an unlimited term and only uses its income for charitable purposes, a Fund is set-up for a limited term and may also use the capital endowed.⁵

In the following all statements concerning 'Foundations' apply to Funds alike.

Obligatory charitable purpose

The purpose of the Foundation has to be charitable. The main issue was that the concept of a charitable purpose was a different one in the past, which in some cases may have led to the peculiar consequence that a Foundation was 'charitable' pursuant to the Charitable Foundations Act but was not been treated as 'charitable' pursuant to tax law.⁶ These two concepts have now been aligned. Moreover, when a new Foundation is established, the 'declaration of establishment' ('Gründungserklärung') has to be transmitted to the Viennese tax office for the 1st and 23rd district, which examines whether the declaration fulfils the prerequisites stated in the Federal Tax Code⁷ to gain the charitable status. The tax office will then issue a decree stating that the declaration is in line with the Federal Tax Code which provides legal certainty for the Foundation Board ('Stiftungsvorstand').

Founders

There are no restrictions on the founders. Founders may be legal as well as natural persons; even unlimited or limited partnerships may act as founders. The Charitable Foundations Act provides for the possibility to transfer the rights of the founders to their legal successors, which is not possible under the Private Foundation Act.

Legal person

The Austrian Charitable Foundation is a legal person and thus is a subject of rights and duties. If a Foundation does not have enough assets to continuously fulfil its purpose, it may be restructured into a Charitable Fund.

5. § 2 BStFG (n 2).

6. Cf BFG (Bundesfinanzgericht) 4 March 2015, RV/7101339/2011.

7. Bundesabgabenordnung (BAO), latest amendment BGBl I Nr 163/2015.

Minimum capital

The minimum capital of the Foundation has to be EUR 50,000 which must be immediately available to the Foundation. If the minimum capital is not contributed in cash but in kind, a compulsory audit has to be performed.

Compulsory bodies

The compulsory bodies of a Charitable Foundation are:

- the Board of the Foundation ('Stiftungsvorstand');
- the Auditor ('Rechnungsprüfer' or 'Stiftungsprüfer');
- and—if the Charitable Foundation disposes of substantial sums—the Supervisory Board ('Aufsichtsorgan').

The Foundation is managed and represented by the Board of the Foundation, which has to draw up annual statements that are then audited by the auditor. In case that the Foundation disposes of large sums, the auditor has to be a qualified auditor/auditing firm, in all other cases no specific credentials are necessary.

Register on Foundations and Funds

A further aim of the reform of the Charitable Foundation was to increase transparency and publicity with regard to Charitable Foundations. Hence, a publicly available register on Foundations and Funds has been introduced, which includes the following details of a Charitable Foundation:

- name, seat, and address,
- purpose,
- beneficiaries,
- name and address of the bodies of the Foundation,
- establishment declaration,

- information about the restructuring or the dissolution of the foundation, and
- annual statements of the foundation.

The Charitable Foundation is thus more transparent than the Austrian Private Foundation. The Charitable Foundation is formed upon entry into the register.

Right to amend and/or to revoke the Foundation

Moreover, the new Charitable Foundations Act provides for a right of the founders of a Charitable Foundation to amend the declaration as well as for a right to revoke the Foundation. However, it is necessary that these rights are already retained in the declaration of establishment. According to some scholars⁸ it should also be possible to retain the right to revoke the Foundation in favour of a legal person and to transfer it to the legal successor(s) of the founder. This is a very important difference to the Private Foundation where neither such revocation right in favour of a legal person nor a transfer of founder's rights to a legal successor is possible.

Tax incentives

Together with the reformed Charitable Foundation Act the tax incentives for charitable organizations (such as associations) as well as foundations have been broadened to make a charitable engagement more tax efficient. Some of these incentives are presented in the following.

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8. Cf Melzer/Petritz, 'Die gemeinnützige Stiftung und der gemeinnützige Fonds nach dem Gemeinnützigkeitsgesetz 2015' – ÖStZ-Spezial (in print).

Softening of the 'Direct' criterion

According to the Austrian Federal Tax Code (applying to all kinds of charitable organizations) a legal person pursuing to gain charitable status has to fulfil its charitable purpose 'directly' by itself, meaning that it itself has to carry out the respective charitable activity, eg the operating of a soup kitchen. The mere financing of charitable organizations is not a privileged purpose. This very strict rule has been softened by the new law. Now the financing of other entities pursuing the same beneficial purpose as the donating entity does not exclude the donor of being charitable. This is very positive for all the entities financing other entities pursuing a privileged purpose as they now may achieve a charitable status as well. Further exceptions have been made for the rendering of services from one charitable entity to another as well as for the granting of scholarships.

Privilege for the endowment of capital to a Charitable Foundation

The most important tax incentive in connection with the reformed Charitable Foundation is the tax privilege for the endowment of capital to a newly established Charitable Foundation. These endowments are tax deductible at the level of the contributor in a maximum amount of EUR 500,000 over five years.

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The prerequisites for such a deduction are that the receiving Foundation is entered into the list of entities qualifying for tax-deductible donations,⁹ kept by the Viennese tax office for the 1st and 23rd district. Entities qualifying for a registration must fulfil certain

criteria which are enlisted in § 4a Austrian Income Tax Act.¹⁰ If the receiving foundation is not registered with the Viennese tax office for the 1st and 23rd district, the prerequisites for an entry on that list must be fulfilled within three years after the establishment of the Foundation. This privilege is not only applicable to Charitable Foundations pursuant to the Charitable Foundations Act, but also to any other Foundation or comparable entity (hence especially to Charitable Private Foundations, established according to the Private Foundations Act).

The maximum amount of EUR 500,000 may be spread over five years; however there is only a possibility to deduct 10% of a taxpayer's annual income:

Example:

Taxpayer's annual income: EUR 2,000,000; taxpayer makes a donation of EUR 400,000 to a Charitable Foundation which is in principle subject to the tax privilege for the endowment of capital. Because of the fact that the endowment exceeds 10% of the income (ie EUR 200,000) it may not be deducted in full but only in an amount of EUR 200,000.

Moreover, if the prerequisites for the tax privilege are not fulfilled, the tax office will retroactively deny the deduction of the endowments.

No endowment tax

Endowments to Austrian Foundations are normally subject to an endowment tax of 2.5% of the value of the assets endowed. However, there is no endowment tax if the receiving Foundation has a charitable status. Pursuant to the new rules this tax exemption applies to all kinds of endowments.

No real estate transfer tax

Moreover, a new tax exemption for the gratuitous transfer of real estate to charitable organizations has been introduced. Normally such transfers would be subject to real estate transfer tax (RETT). However, if

9. 'Liste der begünstigten Spendenempfänger'.

10. Einkommensteuergesetz, EStG (Income Tax Act), latest amendment BGBl I Nr 163/2015.

it is a gratuitous transfer, no RETT is due. Moreover, also the endowment tax equivalent ('Stiftungseinkommenssteueräquivalent') usually levied in the case of transfer of real estate to a Foundation does not apply to gratuitous transfers to Charitable Foundations. Hence, gratuitous transfers of real estate to Charitable Foundations are tax-free.

No entry fee

Further, the entry fee of 1.1% on the value which is levied for registering the ownership of a real estate in the land register is not levied in case of a gratuitous transfer of real estate property to a charitable organisation (and hence also for such transfers to Charitable Foundations). Real estate property thus may be transferred to a Charitable Foundation without any transfer tax or entry fee.

Summary

Austria has tried to raise the attractiveness of its Charitable Foundations by applying a more flexible

and modern law, broadening the tax privileges for founders and by giving founders more rights with regard to 'their' foundation. Moreover, in some aspects the 'new' Charitable Foundation seems to be even more flexible than the very successful Austrian Private Foundation. This flexibility shows itself in the possibility to transfer the rights retained (rights to amend and/or revoke the foundation) to the legal successor of the founder. However, the attractiveness of the Austrian Charitable Foundation will be assessed in comparison with charitable organizations in other jurisdictions.

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MMag. Michael Petritz, LL.M., TEP is a tax partner with KPMG, specializing in advising HNWI's and UHNWI's. Moreover, he lectures and publishes on estate planning tax issues and is the current president of STEP Austria. E-mail: mpetriz@kpmg.at; www.kpmg.at

Mag. Andreas Kampitsch LL.M. is a tax advisor with KPMG and specializes in the same field. E-mail: akampitsch@kpmg.at; www.kpmg.at